



Setting Caps and Limitations on Time and Expenses

When structuring a capped time and material contract, consulting firms and clients need to establish clear caps and limitations on time and expenses:



Cost Cap

The maximum amount the consulting firm can charge for the engagement, regardless of the time and expenses incurred. This cap serves as the client's cost ceiling.



Time Cap

A maximum duration or number of hours the consulting firm can bill for the project. This cap ensures that the engagement does not extend indefinitely and provides a timeline for the client.



Resource Cap

A limit on the number of consultants or specific skill sets that can be assigned to the project. This cap helps control costs and ensure the consulting firm does not overstaff the engagement.

Both parties should carefully negotiate and agree upon These caps and limitations, considering the project scope, complexity, and potential risks or uncertainties. It is essential to balance providing sufficient capacity for the consulting firm to complete the work while ensuring cost control for the client.